

HEDGEYE DAILY DIGEST

Friday, 11 September 2026 (GMT+8)

Grouped GMT+8. "Today" covers the most recent US publishing day (Thu 10 Sep EDT, landing 10 Sep evening through 11 Sep early morning GMT+8). "Yesterday" covers Wed 9 Sep EDT.

Hedgeye's overnight run reads as one continuous argument: the dollar is being devalued deliberately, and every other asset is repricing around it. Keith McCullough's Early Look frames a proposed **\$1 trillion** deficit-funded **\$5,000-per-American** rebate against a US Dollar Index at **\$98.91** — three-month lows — while **2-year** and **10-year** Treasury yields ramp to new inflation-cycle highs of **4.44%** and **4.86%**. The firm's Inflation Nowcast now has headline inflation re-accelerating toward **3.76% y/y in Q4 2026**. The portfolio has answered by leaving US equity and credit risk behind entirely: McCullough disclosed that his **last seven adds** — **out of 27 total positions** — **were not US equities**.

TODAY'S PUBLICATIONS

EARLY LOOK — "Betting \$1T On Inflation Accelerating"

Early Look · Keith McCullough · 10 Sep 2026, 07:39 EDT (19:39 GMT+8)

McCullough opens with **Dave Portnoy** — "Davey Day Trader," the self-appointed COVID-era genius who lost millions publicly when the market turned — as the setup for a much larger wager. The proposed **\$1 trillion** taxpayer-funded deficit spend paying out **\$5,000 per American** is, in his framing, the same bet at national scale: "Davey Day Trader with tweets and a printing press." His point is not political but arithmetic: with the dollar at three-month purchasing-power lows, the \$5,000 may be needed simply to cover what printing the \$1 trillion cost at the grocery store.

Quad positioning: **#Quad2** — inflation accelerating. The note explicitly marks the **July #Quad4** slowdown as behind us; on The Macro Show the same morning McCullough stated flatly that "the macro regime is no longer Quad 4," and the **CRB Commodities Index** printed new **#Quad2 cycle highs**.

The signals cited as this morning's evidence: **US Dollar Index = \$98.91**, right at three-month lows, with the **Japanese Yen** still Bullish TREND; **UST 2yr Yield** ramping to new inflation-cycle highs at **4.44%** with the top-end of the Risk Range at **4.50%**; and **UST 10yr Yield** ramping to new inflation-cycle highs at **4.86%** with the top-end at **4.89%**.

On the refreshed **Inflation Nowcast**: monthly inflation re-accelerating from July's **3.36% y/y** for both **August** and **September**, and quarterly tracking toward **3.76% y/y in Q4 2026**.

Investment implication: own **BUXX** and **CLOX** over long-duration Treasuries. **TLT** remains one of the firm's largest shorts alongside **ZROZ**, **LQD** and rate-sensitive **Utilities (XLU)**. As McCullough puts it: "ROC Numbers > Political Narratives. 100% of the time."

Risk Range™ Signals — 10 September 2026

Asset	Risk Range™	TREND
10-Year U.S. Treasury Yield (UST10Y)	4.70 - 4.89	Bullish
High Yield (HYG)	78.91 - 79.49	Neutral
Investment Grade Corp Bonds (LQD)	104.8 - 106.1	Bearish
S&P 500 (SPX)	7601 - 7757	Bullish

Asset	Risk Range™	TREND
NASDAQ Composite (COMPQ)	26014 - 26683	Bullish
Russell 2000 (RUT)	2901 - 2988	Bearish
Health Care (XLV)	165 - 175	Bullish
Tech Software (IGV)	99 - 112	Bullish
Oil Services (OIH)	415 - 442	Bullish
Volatility Index (VIX)	14.25 - 17.01	Bearish
U.S. Dollar Index (USD)	98.33 - 99.49	Bearish
WTI Crude Oil (WTIC)	88.12 - 99.91	Bullish
Natural Gas (NATGAS)	2.75 - 3.03	Bullish
Gold Spot (GOLD)	4301 - 4502	Bullish
Copper Spot (COPPER)	6.55 - 6.85	Bullish
Silver Spot (SILVER)	64 - 68	Neutral

Two TREND changes worth flagging versus the prior session: the **Russell 2000** moved from **Neutral** to **Bearish** (range narrowed to **2901–2988** from 2912–3014), and **High Yield (HYG)** slipped from **Bullish** to **Neutral**. Both are risk-off signals from the parts of the market that tend to lead.

THE MACRO SHOW — Summary Notes, Thursday 10 September

The Macro Show · Keith McCullough & Ryan Ricci · 10 Sep 2026, 10:34 EDT (22:34 GMT+8)

The most consequential disclosure of the session came in response to Ricci's CPI question. McCullough said his most recent adds were **Singapore, Corn** and **Wheat** — not US equities — and that his **last seven newly added positions, out of 27 total, were not US equities**. He has been actively unloading US credit risk and selling the **Small Cap, high-dividend-yield** and **quality** exposures that worked during July's Quad 4, explicitly because the regime has changed.

Positioning. Bullish: **Energy/Oil Services (OIH), Healthcare (XLV), Software (IGV), Singapore (EWS), Colombia (COLO), South Africa (EZA), Natural Gas (UNG), Gold (AAAU), Bitcoin, Corn, Wheat, Meta (META)**. Bearish: **TLT, ZROZ, Utilities (XLU), Industrials (XLI)**, momentum industrials, **Alphabet (GOOGL)**. Top three sectors by signal strength: **Energy #1, Software #2, Healthcare #3** — all owned.

Breadth is the problem. Roughly **80%** of S&P 500 constituents fell in the prior session. The “Industrials Most Short” hedge-fund basket dropped **-4.1%** while **high-beta momentum rallied +2.4%** — a reversal in which prior winners fell and prior losers bounced, precisely the configuration that punishes active managers. The **Russell 2000** broke to Bearish TRADE and TREND; McCullough was explicit that he did **not** buy the pullback because it is a trend breakdown, not a dip. The high-retail-sentiment basket was **-1.4%** on the day and **-2.3%** month-to-date, having peaked in late May.

The S&P governs everything. With SPX below its immediate-term TRADE level of roughly **7,662**, US equity buying is switched off — no real-time alert buys in three days. He framed it as a yellow light that only turns green above TRADE, reinforced by **Tier 1 Alpha's gamma framework** flipping back **negative**, which accelerates downside moves.

Position-sizing discipline, in his own examples. **Natural Gas (UNG)** was initiated at the **1% commodity minimum**, has broken TREND, is losing money, and will not be added to — **Henry Hub at 2.64** is the stop, and a break eliminates the position. **Gold** sits at minimum size after he sold “on green” last week; **4,380** is the line — above it he adds on declines, below it he holds the minimum and uses 4,380 as the stop on any increment. **Bitcoin** remains Bullish TRADE and TREND and materially stronger than gold, with **\$75,000 as TRADE** and **\$70,000 as TREND**; a break of \$75,000 cuts to minimum, a break of TREND is the exit.

Rotation and geography. **New Zealand** was exited on a TRADE break and replaced with **Singapore**, bought on the pullback; he now holds Singapore, Colombia and South Africa simultaneously. **KOSPI** is untouched near its TRADE lines — a trip wire in both directions. **India** is back to Bearish TRADE and TREND after falling more than **4%** in a month. On oil, **~\$88 WTI** is TRADE and **\$84** TREND, with the Oil Signal pointing to higher highs toward **\$99.91**.

On the Fed: Ricci noted the nowcast running above consensus into CPI alongside rising market-implied odds of future *hikes*. McCullough's response was that persistent inflation could ultimately force the Fed into a policy mistake — and that a sufficiently damaging tightening error becomes the catalyst for the cuts that follow. He is not positioning for that yet.

CAPITAL ALLOCATION PRO — Key Callouts

Capital Allocation Pro · Robert McGroarty, Andrew Nanai, David Salem · 10 Sep 2026, 14:27 EDT (11 Sep, 02:27 GMT+8)

A new **Key Callouts** video was recorded on **10 September 2026**, with accompanying slides. The most recent **Model Portfolio changes went into effect using closing prices on Tuesday, 8 September 2026**. The **September 2026 Monthly Commentary** was posted **2 September**; **Trend and Tail levels for all 68 ETFs** were refreshed using **28 August** closing prices.

The team also flagged a **ticker substitution** exercise to begin tracking commodity tickers within the dashboard, and continues to maintain a **UCITS-equivalent mapping** of all current ETF holdings for European investors.

ETF PRO PLUS — 1 New Change

ETF Pro Plus · 10 Sep 2026, 09:57 EDT (21:57 GMT+8)

Removing Long: Digital Payments (IPAY), range **49.06 – 53.36**. A removal from the long side means the ETF has broken TRADE and/or TREND — the standing recommendation is to sell.

MOMENTUM STOCK TRACKER

MOMO Tracker · Christian Drake & Ryan Ricci · 10 Sep 2026, 07:42 EDT (19:42 GMT+8)

Signal changes: **AMZN = BEARISH**, **TSLA = NEUTRAL**. **Gamma = Neutral**, **breadth negative**. Momentum outperformed sharply, **+2.4%** against a market **-0.48%** — the same prior-losers-bounce dynamic McCullough flagged on The Macro Show. *(Publication is chart-led; signals summarised from the dashboard header.)*

BITCOIN TREND TRACKER — Crypto Quant

Bitcoin Trend Tracker · 10 Sep 2026, 07:02 EDT (19:02 GMT+8)

BTC -0.4%. Themes: vibes and on-chain activity rising, **CLARITY Act** uncertainty framed as the **RWA/tokenization** catalyst, and revenue-metric commentary. A separate **Digital Assets L1 Watch Weekly Update** chart book was published at **06:59 EDT**. *(Chart-led; summarised from headline.)*

YESTERDAY'S PUBLICATIONS

EARLY LOOK — “Burning Down The USD House?”

Early Look · Keith McCullough · 9 Sep 2026, 07:42 EDT

What: The flagship macro note, built around physicist **David Bohm's** “implicate order” — that you cannot manipulate one part of a system without the whole responding — applied to **Scott Bessent's** “I am the house now” comment on yen intervention.

Why: Currency intervention that weakens the dollar feeds inflation rather than containing it. Up Yen leads to Down Dollar; Down Dollar leads to inflation accelerating; add war risk and bond yields make new highs. The chain is the entire thesis.

Who: **Bessent** and the US Treasury; **Goldman's US Housing factor basket**; **ITB**; the **CRB Commodities Index**; high-beta momentum; and semis, reframed as cyclical commodities.

Key numbers: **USD Index \$98.77**, fresh three-month lows, lower-lows within Bearish TREND. **Japanese Yen +0.4% to \$153.51**, Bullish TRADE and TREND. **CRB +0.7%** to new **#Quad2 cycle highs**. **UST 2yr** top-of-range **4.50%**; **UST 10yr** top-of-range **4.86%**. Housing basket **-3.0%** on the day, **-10.1%** over one month. **High Beta Momentum +6.7%**, one of its biggest relative up days in months, still **-5.0%** on the month. **Rubber prices +14%** in a month.

Takeaway: Devalued money has to flow somewhere — this is a closed system. If you cannot buy dollars or Treasuries, the machine buys commodities. Stay short the long end; stay long the inflation complex.

THE MACRO SHOW — Summary Notes, Wednesday 9 September

The Macro Show · 9 Sep 2026, 10:49 EDT

What: A full session on the dollar breakdown and the resulting rotation.

Why: A weaker dollar layers incremental inflation on top of Middle East war-related pressure, making commodities the primary long.

Who: Bullish — **CRB**, **IBIT/BTC**, **WEAT**, **SRUUF** (uranium), **AAAU** (gold), **DRAM**, software and **SNOW**, **XLV**, energy, oil, **New Zealand**, **South Africa**, natural gas, **Spain**, **FXC**, **MSFT/AAPL/NVDA**, copper miners. Bearish — **USD**, Treasuries, **ITB**, **KOSPI** (bearish trend), **China**, **Japan**, small caps; **equal-weight S&P exited**.

Key numbers: **SPX TRADE 7,695 / TREND 7,501** — bearish TRADE, bullish TREND. **VIX 15.72**, still investable. **KOSPI TRADE 6,978 / TREND 7,283**, closed **7,057** after **+1.4%** overnight. **2yr risk range 4.28%–4.50%**. **Oil** upside toward **97.53**. **Bitcoin** upside toward **81,000–82,000**. **Gold** line at **4,381**. **71%** of US stocks down an average of **2.1%**; **8 of 11** sector styles red; **XLV -2.5%**. Possible **\$7bn** of mechanical buying if SPX reclaims 7,695.

Takeaway: Breadth is narrowing, not broadening. Below TRADE, stop buying and reduce toward minimum. Signals got Hedgeye out of the South Korea, DRAM and semis shorts after high-beta momentum became oversold — a reminder that the process, not the narrative, closes trades.

SIGNAL STRENGTH STOCKS — 61 Stocks (6 Added, 6 Removed)

Signal Strength Stocks · 9 Sep 2026, 12:00 EDT

What: Weekly screen refresh, holding at **61** names.

Key numbers: **Added** — PFE, U, CAH, FSK, VREOF, SNDL. **Removed** — SPGI, SBUX, COF, SHOP, EVER, BRCB.

Takeaway: Additions skew defensive healthcare and yield (**PFE, CAH, FSK**); removals cut consumer and financial-data names (**SBUX, COF, SPGI, SHOP**) — consistent with breadth narrowing away from consumer discretionary and toward defensives.

ETF PRO PLUS — 5 New Changes

ETF Pro Plus · 9 Sep 2026, 10:28 EDT

What and key numbers: **Adding Long** — Singapore (**EWS**) and Corn (**CORN**). **Removing Long** — High Dividend (**HDV**) (29.02–29.96) and High Yield Bonds (**HYG**) (79.0–79.68). **Removing Short** — AMD Option Income (**AMDY**) (40.09–45.28).

Takeaway: The single cleanest expression of the regime change in the whole run — buying an Asian equity market and a grain, selling the yield and dividend exposures that worked in Quad 4.

MOMENTUM STOCK TRACKER

MOMO Tracker · 9 Sep 2026, 08:20 EDT

Key numbers: Mag7 **-0.4%**, High Beta Momentum **+6.7%**. **AMZN = NEUTRAL**, **NFLX = BULLISH**. **KOSPI** up, **breadth** down.

Takeaway: The mega-cap complex lagged badly while the most beaten-up momentum names ripped — the factor reversal that set up Thursday's difficulty for active managers.

BITCOIN TREND TRACKER & DIGITAL ASSETS

Bitcoin Trend Tracker / Digital Assets · 9 Sep 2026, 06:48–07:38 EDT

Key numbers: **BTC +0.5%**, **MARA = BULLISH**. Themes: a staked **TRON** ETF (**TRXS**), **HOOD** crypto expansion, a **Block** bank charter, and tokenization exemptions. A **Digital Assets Position Monitor** and **Weekly Exchange Tracker** were also published.